

SMOKY MOUNTAIN CPAS · FREE RESOURCE

The Shopify Payout Decoder

What is actually inside that deposit. From the two CPAs at Smoky Mountain CPAs.

Twice a week, Shopify drops a deposit in your bank account, and most sellers book that number as sales. It is not sales. It is sales minus refunds, minus fees, plus shipping, plus sales tax that belongs to the state, all mashed into one line. Book the deposit as income and your books are wrong in both directions at once: revenue understated, expenses invisible, and someone else's tax money counted as yours. This one-pager decodes a real-shaped payout so you can see what your bank deposit is actually made of.

— The decoder: one \$10,000 month

A store sells \$10,000 of product in a month, about 180 orders. Here is how that month actually lands in the bank:

What happened	Amount	What it is in your books
Product sales	\$10,000	Income
Shipping charged to customers	+\$400	Income
Sales tax collected	+\$800	Not yours. A liability owed to the state
Discount codes used	minus \$300	Reduces income
Refunds issued	minus \$450	Reduces income
Processing fees (2.9% plus 30 cents per order)	minus \$343	An expense
Deposited to your bank	\$10,107	A mix of all of the above

The deposit is \$10,107. Your real revenue is \$9,650 (product plus shipping, minus discounts and refunds). The difference hides \$800 that belongs to the state and \$343 of fees you never saw leave.

— Why the one-line version hurts you

Your revenue is wrong. Book deposits as sales and this month shows \$10,107 of income instead of \$9,650. Across a year that gap misprices everything: your margins, your tax estimates, and what you think you can pay yourself.

Your fees disappear. \$343 a month is over \$4,100 a year of processing cost that never shows up as an expense, so nobody ever asks whether it should be smaller.

You are spending the state's money. The \$800 of sales tax sits in your balance looking spendable. The filing deadline does not care that it got spent on inventory.

— The three-line fix

Every payout should land in your books as three pieces, not one:

1. **Gross sales activity** (sales, shipping, discounts, refunds) booked as income at full value.

2. **Sales tax collected** booked to a liability account, never to income.

3. **Processing fees** booked as an expense.

If you use QuickBooks, a payout tool like A2X can do this split automatically, or your bookkeeper builds it into the monthly close. The test of clean ecommerce books is one question: does your profit and loss show gross sales and fees on their own lines, or just deposits?

Want to know if your books pass that test?

Pull up your P&L. If revenue equals your bank deposits, the decoder above is describing your books, and every number downstream of revenue is off.

We are Brooks and Caroline, the two CPAs behind Smoky Mountain CPAs in Knoxville. Shopify and ecommerce books are our home turf: payout splits, sales tax liabilities, inventory, and a cash system that tells you what you can pay yourself. We do not file taxes. We make the numbers ready for whoever does.

Book a free 30 minute call: smokymtncpas.com/book/

Or start with the \$497 Diagnostic Review: two CPAs inside your actual QuickBooks, findings in writing and on video, including whether your payouts are booked right.

Smoky Mountain CPAs

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